

Notes: Spaenjers & Steiner (JFE, 2024)

Specialization and Performance in Private Equity: Evidence from the Hotel Industry

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1 Big picture

- **Question.** How can specialist private equity (PE) firms compete against larger, better-resourced generalist PE firms? The paper studies whether sector specialists earn superior performance in a chosen niche and what capabilities explain that advantage.
- **Setting.** The empirical setting is U.S. hotel real estate transactions and hotel operating performance over roughly 2001–2019, with detailed data on acquisition/disposition prices, asset characteristics, hotel-level operations, service quality, and capital projects.
- **Core comparison.** The paper compares *hotel-specialist PE firms* with *generalist PE firms*. Specialists are PE investors whose activity and expertise are concentrated in the hotel sector; generalists are broader investors that also acquire hotels.
- **Asset selection fact.** PE specialists do not buy the same hotels as generalists. They acquire assets that are larger, more expensive per room, more likely to need repositioning, more likely to be full service, and operationally more complex.
- **Main performance fact.** Conditional on comparable assets, specialist PE ownership improves operating performance more than generalist PE ownership. In the baseline operating-performance specification, specialist-owned hotels experience a large increase in net income margins.
- **Capital gains fact.** In repeat-sales regressions, hotels sold by PE specialists generate materially higher capital gains than comparable hotels sold by generalists or other sellers. The preferred estimates imply that specialists outperform generalists by about 16 percentage points over the holding period.
- **Mechanism.** Specialists' outperformance is driven primarily by cost savings, not by revenue growth. Specialists reduce rooms labor expenses, management fees, property taxes, interest, amortization/depreciation, and other expenses.
- **Service-quality trade-off.** Specialists' cost reductions come with some decline in guest ratings, especially service quality. However, the paper does not find significant declines in revenues, implying that specialists manage the trade-off without destroying demand.
- **Capital expenditures.** Specialists are more likely to complete hotel alteration projects, consistent with active operational and physical repositioning.
- **Fundamental advantage.** The paper argues that specialists possess industry-specific operating expertise rather than merely real-estate investment expertise. Interview evidence and resume analysis both point to hotel-specific operating experience as the key capability.
- **External validity.** Specialists across PE sectors appear to possess deeper industry-specific operating expertise, suggesting that specialization can be a general competitive strategy in private equity.
- **Takeaway.** The paper challenges the idea of a homogeneous "PE model." PE firms differ meaningfully in expertise, asset selection, operational interventions, and asset-level performance.

2 Data and measurement

2.1 Transactions data: MSCI hotel real estate records

- The transactions data come from MSCI and cover U.S. hotel real estate transactions over the 2001–2019 period.
- The sample contains 26,875 hotel transactions.
- Transactions can be single-property deals, portfolio deals, or entity-level deals.

- The database records asset-level information such as transaction price, price per room, location, number of rooms, hotel type, chain scale, brand, construction year, renovation year, and whether the asset is in a central business district.
- MSCI also classifies buyers and sellers by investor type, which allows the authors to separate PE investors from non-PE investors.

Interpretation: The MSCI data identify who buys and sells hotel assets and at what prices. This is the foundation for measuring asset selection and capital gains.

2.2 Classifying PE specialists and generalists

- The authors manually identify PE firms involved in hotel transactions and classify them as hotel specialists or generalists.
- A PE specialist is a PE investor with a focused hotel-industry investment strategy or recognized hotel expertise.
- A PE generalist is a PE investor that invests across multiple sectors and is not focused on hotel operations.
- The sample includes 478 hotel acquisitions by PE specialists and 3,910 acquisitions by PE generalists.
- Among hotel dispositions, 358 involve specialist PE sellers.

Interpretation: The specialist-generalist classification is not based only on whether the firm ever bought a hotel. It is intended to capture whether the PE firm has a durable sector focus and associated operating expertise.

2.3 Operating performance data: CBRE Hotels

- The authors match MSCI transactions to CBRE hotel operating performance data.
- The CBRE data provide annual hotel-level revenues, expenses, and profitability measures.
- Outcomes include departmental profit, gross operating profit (GOP), EBITDA, and net income (NI) margins.
- Revenue measures include log revenue, log average daily rate (ADR), occupancy, and log revenue per available room (RevPAR).
- Expense measures include rooms labor, food and beverage labor, general and administrative expenses, information technology, sales, maintenance, utilities, management fees, property taxes, insurance, rent, interest, amortization/depreciation, and income tax.

Interpretation: The CBRE data make it possible to observe the operational channel behind investment performance, rather than only purchase and sale prices.

2.4 Matching subject hotels to control hotels

- To estimate operating effects, the paper matches each hotel acquired by a PE investor to a control hotel.
- Matching is based on ex ante observable characteristics, including location, hotel type, chain scale, hotel size, revenue potential, and cost structure.
- For treated hotels, the post indicator begins in the year a PE investor first acquires the hotel.
- For control hotels, the post indicator begins in the same year as the matched treated hotel's acquisition.

Interpretation: Matching addresses the concern that specialists and generalists buy systematically different hotels. The aim is to compare hotels that looked similar before treatment.

2.5 Additional data sources

- Tripadvisor data provide annual hotel guest experience ratings, including overall score, service, cleanliness, and sleep quality.
- Dodge Data & Analytics data provide capital expenditure and construction project information such as additions, alterations, conversions, and new construction.
- PitchBook provides PE firm information, including assets under management, investment activity, firm specialization, and professional biographies.
- Expert interviews provide qualitative evidence about the operating strategies and capabilities of hotel-specialist PE firms.

Interpretation: These additional datasets allow the authors to test whether outperformance comes from guest-quality reductions, capital improvements, real estate expertise, or hotel-specific operating expertise.

3 Empirical specifications and conceptual framework

3.1 Operating-performance difference-in-differences

The main operating-performance specification compares treated hotels with matched control hotels:

$$y_{i,t} = \alpha + \beta PE_i^{Gen} \times Post_{i,t}^{Gen} + \gamma PE_i^{Spec} \times Post_{i,t}^{Spec} + \delta Post_{i,t}^{Gen} + \eta Post_{i,t}^{Spec} + \phi_i + \theta_{l,t} + \varepsilon_{i,t}. \quad (1)$$

- $y_{i,t}$ is a hotel-level operating outcome.
- PE_i^{Gen} and PE_i^{Spec} indicate whether the subject hotel is acquired by a generalist or specialist PE investor.
- $Post_{i,t}^{Gen}$ and $Post_{i,t}^{Spec}$ indicate the post-acquisition period for the treated hotel and its matched control.
- ϕ_i are hotel fixed effects.
- $\theta_{l,t}$ are region-by-year fixed effects.
- Standard errors are clustered by hotel brand.

Interpretation: The coefficients β and γ measure the post-acquisition change in operating performance under generalist and specialist PE ownership relative to matched controls. The key comparison is whether γ exceeds β .

3.2 Capital gains repeat-sales regressions

Capital gains are measured as the log change in transaction price per room between acquisition and disposition:

$$\Delta p_{i,s} = \alpha + \beta PESeller_{i,t}^{Gen} + \gamma PESeller_{i,t}^{Spec} + \delta Controls_{i,t} + \theta_l + \varepsilon_{i,t}. \quad (2)$$

- $\Delta p_{i,s}$ is the capital gain for hotel i sold in year t .
- $PESeller_{i,t}^{Gen}$ and $PESeller_{i,t}^{Spec}$ indicate whether the seller is a generalist or specialist PE investor.
- Controls include portfolio-sale indicators, prior portfolio acquisition, international investor, independent hotel, repositioning, hotel size, year built, CBD location, subtype, holding-period fixed effects, and location/year fixed effects.
- Standard errors are clustered by ZIP code.

Interpretation: This specification asks whether specialist PE sellers realize higher appreciation than generalists, after accounting for asset characteristics, holding periods, and local market conditions.

3.3 Revenue and cost driver regressions

The same operating-performance specification is used for detailed revenue and expense outcomes:

$$y_{i,t} \in \{\log Revenue, \log ADR, Occupancy, \log RevPAR, ExpenseRatio_k\}. \quad (3)$$

Interpretation: If specialists outperform by increasing demand, revenue measures should rise. If they outperform through efficiency, expense ratios should fall.

3.4 Service-quality and capital-expenditure regressions

The paper uses the operating-performance framework to estimate effects on Tripadvisor guest ratings and Dodge project indicators:

$$y_{i,t} \in \{Overall, Service, Cleanliness, SleepQuality, Additions, Alterations, Conversions, NewConstruction\}. \quad (4)$$

Interpretation: These regressions test whether cost savings come at the expense of service quality and whether specialists engage in physical repositioning through capital projects.

3.5 Testing real estate expertise versus hotel operating expertise

The paper isolates real-estate-focused generalist PE firms and estimates specifications with three PE categories:

$$y_{i,t} = \alpha + \beta PE_i^{Gen} \times Post_{i,t}^{Gen} + \rho PE_i^{RE} \times Post_{i,t}^{RE} + \gamma PE_i^{Spec} \times Post_{i,t}^{Spec} + \dots \quad (5)$$

Interpretation: If specialists outperform only because they know real estate, then real-estate-focused generalists should perform similarly. They do not, which points to hotel-specific operating expertise.

3.6 Resume-analysis regression

The paper uses PitchBook professional biographies and ChatGPT-assisted classification to measure operating expertise:

$$y_i = \alpha + \beta Specialist_i + \gamma AUM_i + \delta PrefInvAmt_i + \theta_i + \varepsilon_i. \quad (6)$$

- y_i measures professional expertise: general operating experience, specific industry expertise, correct industry classification, or predicted finance specialization.
- $Specialist_i$ indicates whether the professional works at a specialist PE firm.
- AUM_i and $PrefInvAmt_i$ control for firm scale and investment size.
- Vintage fixed effects control for the period of firm founding.

Interpretation: This regression tests whether specialists' human capital differs systematically from generalists' human capital.

3.7 Financing-cost regression

To evaluate whether generalists have financing advantages, the paper estimates:

$$y_{i,t} = \alpha + \beta PEBuyer_{i,t}^{Gen} + \gamma PEBuyer_{i,t}^{Spec} + \delta Controls_{i,t} + \theta_{l,t} + \varepsilon_{i,t}. \quad (7)$$

- The dependent variable is the interest rate on the mortgage used to finance the acquisition.

- The regressions include acquisition price per room and mortgage term as controls.
- Specifications add hotel fixed effects, lender fixed effects, and region-by-year fixed effects.

Interpretation: The financing test addresses the possibility that generalists' scale helps them obtain cheaper debt, even if specialists have superior operating expertise.

4 Identification and empirical design

4.1 Main identification problem

PE specialists do not randomly acquire hotels. Table 2 shows that specialists buy older, larger, more expensive, more complex, and more repositioning-intensive hotels. Therefore, simple comparisons of outcomes would confound investment performance with selection.

Interpretation: The empirical challenge is to distinguish superior management from ex ante differences in hotel quality and complexity.

4.2 How the paper addresses selection

- Operating-performance regressions use matched control hotels based on location, type, chain scale, size, revenue potential, and cost structure.
- Hotel fixed effects absorb time-invariant hotel quality.
- Region-by-year fixed effects absorb local hotel-market shocks.
- Capital-gain regressions use repeat sales and detailed asset-level controls.
- Robustness tests check whether results are driven by individual large PE firms, counterparty types, or alternative long-run value measures such as property tax assessments.

Interpretation: The design is not experimental, but it uses several layers of controls and matched comparisons to approximate like-with-like comparisons.

4.3 Why the mechanism evidence matters

The performance results alone cannot show why specialists outperform. The paper therefore tests mechanisms directly:

- revenue growth versus cost savings;
- guest-service ratings;
- capital expenditure projects;
- real estate expertise versus hotel operating expertise;
- professional resume evidence;
- heterogeneity by operational complexity.

Interpretation: The strongest part of the paper is that the mechanism evidence and the performance evidence point in the same direction: hotel-specific operating expertise.

4.4 Limitations

- The sample is limited to U.S. hotel real estate and may not fully generalize to all PE sectors.
- Specialist classifications require judgment and manual work.
- Matched controls cannot eliminate all unobserved differences between hotels.
- Hotel accounting data may not capture all economic costs and benefits.
- The paper observes asset-level performance, not limited partners' net-of-fee fund returns.

Interpretation: The results are strongest for asset-level operations and value creation. They do not necessarily imply that limited partners earn higher net returns by investing with specialist funds.

5 Tables and figures

5.1 Figure 1 and Table 1: specialization trends and hotel transactions

Read:

- Figure 1 shows that the fraction of newly founded PE firms classified as sector specialists rose from roughly 30% in the early 2000s to nearly twice that level two decades later.
- Generalist PE firms are larger than specialists in assets under management, number of investments, and number of professionals.
- Table 1 shows that the sample contains 26,875 hotel transactions: 70% single-property transactions, 21% portfolio transactions, and 9% entity-level transactions.
- PE buyers appear in 16% of transactions involving PE buyers or sellers, and PE specialists account for 478 acquisitions and 358 dispositions.

Economic message: The industry trend motivates the research question: despite being smaller, specialists are increasingly common. The transactions sample provides enough asset-level variation to compare specialist and generalist investment strategies.

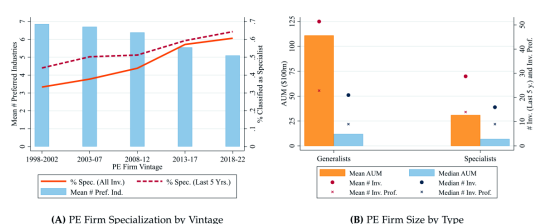


Figure 1: PE specialization in the private equity industry

Table 1
Composition of hotel transactions.

Panel A. Distribution over transaction types

	N	Pct.
Single	18,790	70%
Portfolio	5,635	21%
Entity-level	2,450	9%
Total	26,875	100%

Panel B. Top-10 cities and hotel brands

City	N	Brand	N
Houston	360	(Independent hotel)	4,945
New York	323	Hampton Inn & Suites	1,078
Orlando	286	Courtyard by Marriott	968
San Antonio	246	Holiday Inn Express	960
Miami Beach	239	Residence Inn by Marriott	891
San Francisco	236	Motel 6	767
Phoenix	221	Holiday Inn	748
Las Vegas	208	Fairfield Inn by Marriott	744
San Diego	205	Quality Inn	726
Los Angeles	202	Comfort Inn	712

Panel C. Top-10 buyer types and buyers

Buyer type	N	PE buyer	N	Non-PE buyer	N
Developer/Owner/Operator	17,131	Blackstone	1,378	N/A	589
Equity Fund	4,024	Starwood Capital	513	Apple REIT	309
REIT	1,538	Goldman Sachs	404	China Life	195
Non-Traded REIT	899	JER Partners	151	Accorinvest	170
Investment Manager	875	RLJ Development	147	Ashford Hospitality Trust	149
(unknown)	506	Five Mile Capital	119	Colony Capital (REIT)	149
REOC	446	Apollo Global RE	93	Hospitality Investors Trust	148
Insurance	244	Noble Investment Group	87	Kinco	135
Corporate	219	Dune RE Partners LP	77	AHIP REIT	129
High Net Worth	206	Cerberus	72	InvenTrust	126

Panel D. Presence of PE buyer or seller

	PE seller	No PE seller	Pct.
PE buyer	384	4,004	16%
No PE buyer	2,408	20,079	84%
Pct.	10%	90%	100%

Panel E. Presence of PE specialist investors

	Buyer	Seller
PE specialist	478	358
Pct.	11%	13%

This table presents frequency statistics on our sample of hotel transactions in the U.S. over the 2001–2019 period. **Panel A** shows the distribution of transactions by transaction type. **Panel B** shows a ranking of the top-10 cities and hotel brands. **Panel C** shows a ranking of the top-10 buyer types and individual buyers. **Panel D** shows the distribution of transactions involving PE vs. no PE investors. **Panel E** shows the distribution of hotel transactions involving specialist PE investors as buyers or sellers.

Table 1: Composition of hotel transactions

5.2 Figure 2 and Table 2: acquisition volumes and asset selection

Read:

- Figure 2 shows that PE investment is an important but cyclical part of the hotel transaction market.
- Specialists account for a smaller volume of hotel acquisitions than generalists but remain active throughout the sample.
- Table 2 shows that PE specialists buy hotels with higher price per room, more rooms, higher CBD incidence, more full-service operations, and more repositioning activity.
- Specialists' acquired hotels also have higher average daily rates and revenue per available room before acquisition, but lower EBITDA and net income margins.

Economic message: Specialists target operationally more challenging hotels. This selection pattern makes it essential to control for ex ante characteristics before comparing performance.

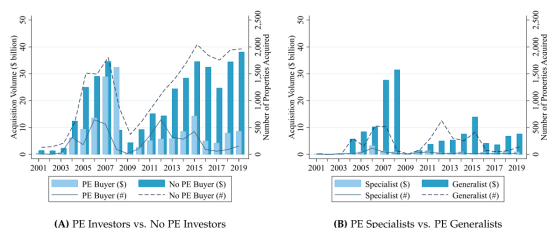


Figure 2: hotel acquisition volumes by investor type

5.3 Figure 3 and Table 3: pre-acquisition operations and post-acquisition margins

Read:

- Figure 3 shows that specialists buy hotels with more diverse revenue structures and higher labor-cost intensity.
- Table 3 reports difference-in-differences estimates for operating performance.
- Specialist PE ownership raises departmental profit margins by about 2.1 percentage points and net income margins by about 5.4 percentage points.
- Generalist PE ownership has a smaller or statistically insignificant impact on most operating-margin outcomes.

Economic message: Specialists appear to improve bottom-line performance after acquisition, even though they tend to acquire operationally complex assets.

Table 2
Descriptive statistics on asset selection.

Panel A. Hotel characteristics based on transactions data

	PE specialists			PE generalists			Difference in means
	N	Mean	Median	N	Mean	Median	
Price (\$m.)	478	34.83	20.38	3,910	36.88	9.02	-2.05
Price per room (\$th.)	478	161.10	125.46	3,909	126.61	76.27	34.49***
Cap rate (%)	125	7.75	8.01	320	8.48	8.52	-0.73***
Portfolio transaction	478	0.47	0.00	3,910	0.81	1.00	-0.34***
Repositioning	478	0.30	0.00	3,910	0.09	0.00	0.21***
Independent hotel	478	0.11	0.00	3,910	0.07	0.00	0.05***
Rooms	478	216	163	3,909	181	122	35.87***
Year built	470	1985	1995	3,435	1987	1995	-2.51**
Year renovated	207	2004	2005	1,459	2004	2005	0.00
CBD	478	0.22	0.00	3,910	0.11	0.00	0.11***
Full service	478	0.62	1.00	3,910	0.30	0.00	0.32***

Panel B. Hotel characteristics based on pre-acquisition operating performance data

	PE specialists			PE generalists			Difference in means
	N	Mean	Median	N	Mean	Median	
Average daily rate	486	114.48	106.94	3,666	103.90	95.81	10.58***
Occupancy	486	0.70	0.71	3,666	0.70	0.70	0.00
Revenue per available room	486	80.97	76.64	3,666	73.24	67.57	7.73***
Departmental expense ratio	486	0.33	0.30	3,666	0.31	0.29	0.02***
Undistributed expense ratio	486	0.28	0.27	3,666	0.27	0.27	0.01**
Non-operating expense ratio	486	0.13	0.11	3,666	0.13	0.10	0.00
Fixed expense ratio	486	0.14	0.13	3,666	0.10	0.08	0.04***
Departmental margin	486	0.67	0.70	3,666	0.69	0.71	-0.02***
GOP margin	486	0.40	0.41	3,666	0.42	0.43	-0.03***
EBITDA margin	486	0.26	0.29	3,666	0.29	0.31	-0.03***
Net income margin	486	0.13	0.13	3,666	0.19	0.20	-0.06***

This table presents descriptive statistics on hotel acquisitions by PE specialist and generalist investors in the U.S. over the 2001–2019 period.

Table 2: descriptive statistics on asset selection

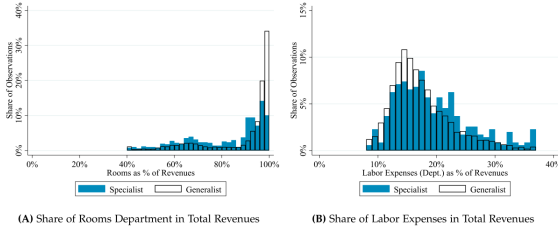


Figure 3: pre-acquisition revenue and cost structures

5.4 Figure 4 and Table 4: capital gains

Read:

- Figure 4 shows holding-period distributions and capital-gain distributions by seller type.
- PE specialists and generalists have similar holding periods, so specialist gains are not merely due to longer holds.
- Table 4 shows that PE specialist sellers earn significantly higher capital gains than other sellers across specifications.
- In the preferred specification, specialist gains exceed generalist gains by roughly 16 percentage points over the holding period.

Economic message: Operating improvements translate into higher exit prices. Specialist outperformance is visible not only in hotel accounting margins but also in repeat-sale capital gains.

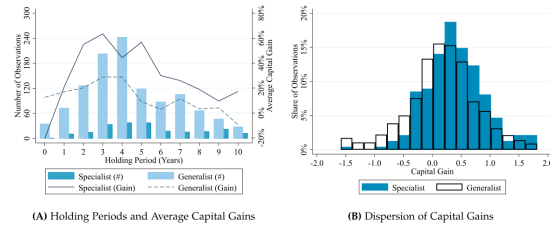


Figure 4: capital gains and holding periods

Table 3
Cash flows from operations to private equity investors.

	Dept. (1)	GOP (2)	EBITDA (3)
$PE_i^{Gen} \times Pos_{i,t}^{Gen}$	0.008** (0.003)	0.000 (0.006)	-0.002 (0.010)
$PE_i^{Spec} \times Pos_{i,t}^{Spec}$	0.021*** (0.006)	0.024** (0.010)	-0.028 (0.023)
Post dummies	Yes	Yes	Yes
Hotel FE	Yes	Yes	Yes
Region $\times$ Year FE	Yes	Yes	Yes
F-statistic	3.94*	4.94**	1.13
Observations	16,369	16,369	16,369
R-squared	0.90	0.83	0.65

This table reports output from Eq. (1). The dependent variables are key hot ratios. PE_i^{Gen} (PE_i^{Spec}) is an indicator that takes the value of one for the hotels by generalist (specialist) PE investors. $Pos_{i,t}^{Gen}$ ($Pos_{i,t}^{Spec}$) is an indicator that takes the value of one starting with the year in which a generalist (specialist) PE investor acquires a subject hotel. For control hotels, these variables equal one starting year in which a PE investor first acquires the matched subject hotel. F-statistic the results from a hypothesis test for the equality of the coefficients on the in terms reported in the table. All regressions are estimated over the 2000–2018. Standard errors are clustered by hotel brand. Statistical significance is indicated as follows: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Table 3: cash flows from operations to PE investors

	(1)	(2)	(3)	(4)	(5)	(6)
PE_{Seller}^{Gen}	0.107*** (0.021)	0.087*** (0.021)	0.018 (0.021)	0.027 (0.021)	-0.030 (0.027)	-0.063 (0.053)
PE_{Seller}^{Spec}	0.287*** (0.035)	0.298*** (0.034)	0.231*** (0.034)	0.224*** (0.034)	0.244*** (0.042)	0.159* (0.087)
Control variables	Yes	Yes	Yes	Yes	Yes	Yes
Holding Pd. FE	No	Yes	No	No	No	No
Holding Pd. $\times$ Year FE	No	No	Yes	Yes	Yes	Yes
Region FE	Yes	Yes	Yes	No	No	No
Region $\times$ Year FE	No	No	No	Yes	No	No
Zip FE	No	No	No	No	Yes	No
Zip $\times$ Year FE	No	No	No	No	No	Yes
F-statistic	24.14***	33.46***	33.78***	30.07***	37.44***	5.48**
Observations	8,058	8,058	8,053	8,050	6,797	2,415
R-squared	0.04	0.08	0.28	0.30	0.46	0.68

This table reports output from Eq. (2). The dependent variable is capital gains, computed as the change in the natural logarithm of the transaction price per room between the acquisition and the subsequent disposition of a given hotel. PE_{Seller}^{Gen} (PE_{Seller}^{Spec}) is an indicator that takes the value of one if the seller in a given transaction is a generalist (specialist) PE investor. The regressions include the following control variables: *Portfolio Sale* is an indicator that takes the value of one if a hotel was sold in a portfolio deal; *Prior Portfolio Sale* is an indicator that takes the value of one if the hotel was acquired in a portfolio deal; *International Buyer* is an indicator that takes the value of one if the buyer in the repeat sale is an international investor; *Repositioning* is an indicator that takes the value of one if the hotel was acquired for the purposes of repositioning; *Independent* is an indicator that takes the value of one if the hotel was independent (not affiliated with a hotel brand); *Rooms* is the natural logarithm of the number of rooms of the hotel (winsorized at the 1st and 99th percentiles); *Year Built* is the construction year of the hotel; *CBD* is an indicator that takes the value of one if a given hotel is located in the central business district; *Full-Service* is an indicator that takes the value of one if a given hotel is a full-service hotel. Fixed effects

Table 4: capital gains to PE investors

5.5 Table 5 and Table 6: asset management choices and service quality

Read:

- Table 5 shows little evidence that specialists grow revenues, but strong evidence that they reduce costs.
- Specialist ownership lowers rooms labor expenses, general and administrative expenses, maintenance, management fees, property taxes, interest, and amortization/depreciation.
- Table 6 shows that specialist ownership lowers Tripadvisor service ratings, while generalist ownership does not significantly change guest ratings.
- The service-rating decline suggests a cost-quality trade-off, but the absence of revenue declines suggests that specialists manage this trade-off carefully.

Economic message: Specialists create value primarily through operational efficiency rather than revenue expansion. Some service-quality sacrifice is visible, but it does not translate into lower revenues.

Table 5
Drivers of operating performance under private equity ownership.

	$PE_i^{Gen} \times Post_{i,t}^{Gen}$		$PE_i^{Spec} \times Post_{i,t}^{Spec}$		F-statistic	Observations	R-squared
	Coefficient	S.E.	Coefficient	S.E.			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Revenues							
Log revenue	-0.003	0.011	0.005	0.020	0.16	16,369	0.99
Log ADR	0.006	0.007	0.026**	0.014	2.19	16,369	0.97
Occupancy	-0.004	0.003	-0.002	0.007	0.06	16,369	0.74
Log RevPAR	0.001	0.009	0.024	0.018	1.40	16,369	0.95
Labor expenses							
Rooms	-0.003	0.002	-0.012***	0.004	5.18**	15,230	0.83
F&B	0.000	0.001	-0.004	0.003	0.96	15,230	0.97
Other	0.000	0.000	0.000	0.001	0.01	15,230	0.80
Undistributed expenses							
ASG	0.002	0.002	-0.005*	0.003	4.24**	16,369	0.67
IT	0.000	0.000	0.002*	0.001	3.50*	16,369	0.67
Sales	0.008**	0.004	0.004	0.005	0.40	16,369	0.87
Maint.	-0.002**	0.001	-0.004**	0.001	2.04	16,369	0.71
Util.	0.000	0.001	0.000	0.001	0.03	16,369	0.83
Non-operating expenses							
Mgt. Fee	-0.004***	0.001	-0.009***	0.003	2.82	16,369	0.75
Prop. Tax	-0.001	0.001	-0.010**	0.004	4.04*	16,369	0.70
Insur.	-0.001*	0.001	0.000	0.001	0.33	16,369	0.72
Rent	0.002	0.007	0.075***	0.025	8.45***	16,369	0.55
Other	0.003	0.002	-0.003***	0.001	9.34***	16,369	0.41
Fixed charges							
Interest	0.010***	0.004	-0.033**	0.013	10.31***	16,369	0.72
Amort. & Dep.	0.010	0.008	-0.050***	0.017	12.33***	16,369	0.75
Inc. Tax	0.000**	0.000	0.000	0.000	0.49	16,369	0.37

This table reports output from Eq. (1). The dependent variables include measures of revenues, revenue drivers, and expense ratios. We provide details on those measures in Online Appendix A and Online Appendix B. PE_i^{Gen} (PE_i^{Spec}) is an indicator that takes the value of one for the hotels

Table 5: drivers of operating performance

Guest satisfaction under private equity ownership.

	Overall	Service	Cleanliness	Sleep quality
	(1)	(2)	(3)	(4)
$PE_i^{Gen} \times Post_{i,t}^{Gen}$	0.020	-0.012	0.019	0.034
	(0.027)	(0.028)	(0.026)	(0.029)
$PE_i^{Spec} \times Post_{i,t}^{Spec}$	-0.072	-0.162***	-0.037	-0.042
	(0.065)	(0.059)	(0.089)	(0.114)
Post dummies	Yes	Yes	Yes	Yes
Hotel FE	Yes	Yes	Yes	Yes
Region $\times$ Year FE	Yes	Yes	Yes	Yes
F-statistic	2.09	5.55**	0.40	0.38
Observations	11,907	11,788	11,768	8,504
R-squared	0.50	0.45	0.48	0.44

This table reports output from Eq. (1). The dependent variables are hotels' overall guest satisfaction scores in column 1, guest satisfaction scores for service quality in column 2, and the corresponding scores for cleanliness and sleep quality in columns 3 and 4 respectively. The data on guest satisfaction scores are from Tripadvisor. On Tripadvisor hotel guests can leave scores on a scale from one through five to rate several aspect of their stay at a given hotel; namely, overall satisfaction, service, cleanliness, and sleep quality. Tripadvisor collects guest experience ratings from individual stays for thousands of hotels in the U.S. We collapse the scores recorded in each review for a given hotel and a given date of stay to the hotel-year level by taking the simple mean.

Table 6: guest satisfaction

5.6 Figure 5 and Table 7: guest ratings and capital expenditures

Read:

- Figure 5 shows a decline in the upper tail of guest experience scores after specialist PE acquisitions.
- Table 7 shows that specialist PE investors are more likely to complete alteration projects.
- Generalist PE ownership does not lead to a similar increase in capital expenditure projects.
- Alterations include renovations of common areas, reconfiguration of suites, and other improvements to the physical structure of the hotel.

Economic message: Specialists do not merely cut costs. They also reshape the physical asset when doing so is useful for repositioning and operating efficiency.

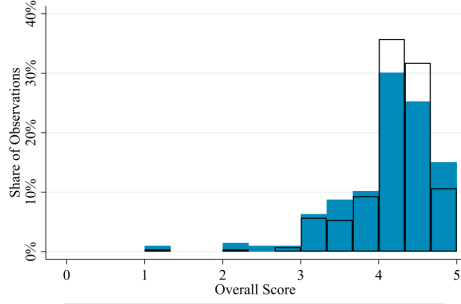


Figure 5: guest experience ratings

5.7 Table 8: real estate expertise versus hotel expertise

Read:

- Table 8 separates real-estate-focused PE generalists from other generalists.
- Real-estate-focused PE firms perform more like other generalists than like hotel specialists.
- Specialist PE firms continue to have higher net income margins and capital gains.
- The result suggests that hotel-specific operating expertise, not general real estate knowledge, is the critical advantage.

Economic message: Specialists' advantage is not simply buying and selling real estate well. It comes from knowing how to operate hotels.

Table 8
The role of real estate-specific expertise in private equity performance outcomes.

Panel A. Operating performance

	Dept. (1)	GOP (2)	EBITDA (3)	NI (4)
$PE_i^{Gen} \times Post_{i,t}^{Gen}$	0.007** (0.003)	0.001 (0.006)	0.014 (0.014)	0.013 (0.014)
$PE_i^{SE} \times Post_{i,t}^{SE}$	0.008 (0.006)	-0.002 (0.010)	-0.035** (0.016)	-0.079*** (0.026)
$PE_i^{Spec} \times Post_{i,t}^{Spec}$	0.021*** (0.006)	0.024** (0.010)	-0.028 (0.023)	0.054*** (0.025)
Post dummies	Yes	Yes	Yes	Yes
Hotel FE	Yes	Yes	Yes	Yes
Region $\times$ Year FE	Yes	Yes	Yes	Yes
F-statistic Gen-RE	0.03	0.07	7.50***	14.35***
F-statistic Spec-RE	2.60	3.75*	0.08	12.92***
Observations	16,369	16,369	16,369	16,369
R-squared	0.90	0.83	0.66	0.64

Panel B. Capital gains

	(1)	(2)	(3)	(4)	(5)	(6)
PE_{Seller}^{Gen}	0.127*** (0.025)	0.100*** (0.026)	0.011 (0.026)	0.020 (0.026)	-0.046 (0.033)	-0.098 (0.066)
PE_{Seller}^{SE}	0.069*** (0.021)	0.064*** (0.021)	0.030 (0.021)	0.039 (0.021)	-0.003 (0.029)	-0.013 (0.077)
PE_{Seller}^{Spec}	0.287*** (0.035)	0.298*** (0.034)	0.230*** (0.034)	0.224*** (0.034)	0.244*** (0.042)	0.158* (0.087)
Control variables	Yes	Yes	Yes	Yes	Yes	Yes
Holding period FE	No	Yes	No	No	No	No
Holding period $\times$ Year FE	No	No	Yes	Yes	Yes	Yes
Region FE	Yes	Yes	Yes	No	No	No
Region $\times$ Year FE	No	No	No	Yes	No	No
Zip FE	No	No	No	No	Yes	No
Zip $\times$ Year FE	No	No	No	No	No	Yes
F-statistic Gen-RE	2.46	0.90	0.26	0.25	0.85	0.77
F-statistic Spec-RE	25.84***	29.26***	21.58***	19.74***	21.59***	2.40
Observations	8,058	8,058	8,053	8,050	6,797	2,415
R-squared	0.04	0.08	0.28	0.30	0.46	0.68

Panel A replicates the regressions presented in Table 3. All variables and notation are as shown there, except PE_i^{SE} , an indicator that takes the value of one for hotels acquired by a real-estate focused generalist, and $Post_{i,t}^{SE}$, an indicator that takes the value of one for hotels acquired by a real-estate focused specialist.

5.8 Table 9: heterogeneity by hotel complexity

Read:

Table 7

Capital expenditures under private equity ownership.

	Additions (1)	Alterations (2)	Conversions (3)	New construction (4)
$PE_i^{Gen} \times Post_{i,t}^{Gen}$	0.001 (0.001)	-0.005 (0.005)	0.001 (0.000)	0.000 (0.008)
$PE_i^{Spec} \times Post_{i,t}^{Spec}$	-0.007 (0.007)	0.044* (0.022)	-0.006 (0.005)	-0.001 (0.018)
Post dummies	Yes	Yes	Yes	Yes
Hotel FE	Yes	Yes	Yes	Yes
Region $\times$ Year FE	Yes	Yes	Yes	Yes
F-statistic	1.36	4.73**	1.88	0.00
Observations	11,582	11,582	11,582	11,582
R-squared	0.13	0.12	0.13	0.11

This table reports output from Eq. (1). The dependent variables in columns (1) through (4) are indicators that each take the value of one if a hotel experiences a specific type of capital expenditures (i.e., additions, alterations, conversions, or new construction). PE_i^{Gen} (PE_i^{Spec}) is an indicator that takes the value of one for the hotels acquired by generalist (specialist) PE investors. $Post_{i,t}^{Gen}$ ($Post_{i,t}^{Spec}$) is an indicator that takes the value of one starting with the year in which a generalist (specialist) PE investor first acquires a subject hotel. For control hotels, these variables equal one starting with the year in which a PE investor first acquires the matched subject hotel. F-statistic refers to the results from a hypothesis test for the equality of the coefficients on the interaction terms reported in the table. All regressions are estimated over the 2000–2018 period. Standard errors are clustered by hotel brand. Statistical significance is indicated as

Table 7: capital expenditures

Table 9
Heterogeneity in operational impact.

	Luxury segment (1)	On-site oper. (2)	Low rooms % (3)	High labor % (4)	High ADR (5)
$PE_i^{Gen} \times Post_{i,t}^{Gen}$	0.007* (0.004)	0.006 (0.004)	0.006 (0.005)	0.003 (0.004)	0.009*** (0.003)
$PE_i^{Spec} \times Post_{i,t}^{Spec}$	0.013* (0.007)	-0.005 (0.012)	-0.029** (0.012)	-0.007 (0.011)	0.024** (0.012)
$PE_i^{Gen} \times Post_{i,t}^{Gen} \times D^{Spec}$	0.003 (0.006)	0.006 (0.005)	0.004 (0.006)	0.012*** (0.004)	-0.003 (0.003)
$PE_i^{Spec} \times Post_{i,t}^{Spec} \times D^{Spec}$	0.021** (0.010)	0.035** (0.014)	0.054*** (0.013)	0.040*** (0.011)	0.007 (0.015)
Post dummies	Yes	Yes	Yes	Yes	Yes
Hotel FE	Yes	Yes	Yes	Yes	Yes
Region $\times$ Year FE	Yes	Yes	Yes	Yes	Yes
F-statistic	3.82*	4.82**	15.82***	5.62**	0.40
Observations	16,369	15,544	15,544	14,770	11,969
R-squared	0.90	0.90	0.90	0.90	0.89

This table replicates the regressions presented in column 1 of Table 3, where the dependent variable is the departmental profit margin. All variables and notation are as shown there, except D^{Spec} , an indicator that takes the value of one for hotels that can be classified as being operationally more complex because they are luxury hotels (column 1), have on-site operations (column 2), have a below-median share of their revenues coming from the rooms department (column 3), or have an above-median labor expense ratio (column 4). In column 5, D^{Spec} equals

- Table 9 studies whether specialist impact is larger for operationally complex hotels.
- Complexity proxies include luxury segment, on-site operations, low rooms-revenue share, high labor intensity, and high ADR.
- Specialist effects are stronger in several complex settings, especially hotels with on-site operations and low rooms share.
- The heterogeneity supports the operating-expertise interpretation.

Economic message: If specialists’ advantage is operating expertise, they should add more value where operations are hardest. Table 9 shows exactly this pattern.

5.9 Table 10 and Table 11: professional expertise and acquisition financing

Read:

- Table 10 uses professional biographies to compare specialists and generalists across PE sectors.
- Specialist PE professionals have higher scores for industry-specific expertise and are more likely to be correctly matched to their predicted industry.
- Table 11 shows that generalist PE buyers obtain lower mortgage interest rates than specialist PE buyers.
- Thus, generalists retain a financing advantage even though specialists have an operating-expertise advantage.

Economic message: Specialists win on operating expertise, not on financing. Generalists’ scale may help them borrow more cheaply, but hotel specialists produce higher asset-level performance by improving operations.

Table 10
Specialists vs. generalists in the private equity industry.

	General Exp. (1)	Specific Exp. (2)	Correct Ind.? (3)	Predict Fin.? (4)
<i>Specialist</i>	0.096 (0.059)	0.317*** (0.070)	0.238*** (0.029)	-0.089*** (0.026)
<i>AUM</i>	0.061*** (0.017)	0.142*** (0.020)	0.005 (0.008)	0.005 (0.007)
<i>Preferred Investment Amount</i>	0.024 (0.025)	-0.004 (0.030)	0.025** (0.013)	-0.023** (0.011)
<i>Constant</i>	6.799*** (0.140)	6.522*** (0.168)	0.283*** (0.070)	0.305*** (0.062)
Vintage FE	Yes	Yes	Yes	Yes
Observations	1,308	1,308	1,308	1,308
R-squared	0.02	0.05	0.07	0.02

This table reports output from Eq. (3). The dependent variable in column 1 is *General Exp.*, the score for an investment professional’s general operating expertise. The dependent variable in column 2 is *Specific Exp.*, the corresponding score for their operating expertise in the industry in which they have most expertise. The dependent variable in column 3 is *Correct Ind.*, an indicator that takes the value of one if the professional’s predicted industry matches the industry in which their PE firm completed the largest number of investments. The dependent variable in column 4 is *Predict Fin.*, an indicator that takes the value of one if the professional has the most industry-specific expertise in the Financial Services industry. All dependent variables are obtained from the AI-driven analyses of investment professionals’ résumés described in Section 7.1. *Specialist* is an indicator that takes the value of one if a professional works at a PE firm classified by PitchBook as a specialist based on the firm’s investment activity over the past five years. *AUM* is

Table 10: specialists versus generalists in PE

6 Short summary

- The paper studies whether industry-specialist PE firms outperform generalist PE firms in the U.S. hotel industry.
- Specialist PE firms are smaller than generalists but increasingly common in the PE industry.
- Specialists acquire hotels that are larger, more expensive per room, more full service, and more operationally complex.

Table 11
Private equity acquisition financing.

	(1)	(2)	(3)
<i>PEBuyer^{Gen}_{i,t}</i>	-0.009*** 0.000	-0.006*** 0.000	-0.003*** 0.000
<i>PEBuyer^{Spec}_{i,t}</i>	0.001* (0.001)	0.000 0.000	0.001 (0.001)
Control variables	Yes	Yes	Yes
Hotel FE	No	No	Yes
Lender FE	No	Yes	Yes
Region × Year FE	Yes	Yes	Yes
F-statistic	216.61***	115.27***	28.17***
Observations	9,795	9,447	3,682
R-squared	0.58	0.69	0.92

This table reports output from Eq. (3). The dependent variable is the hotel mortgage interest rate, winsorized at the 1st and 99th percentiles. *PEBuyer^{Gen}_{i,t}* (*PEBuyer^{Spec}_{i,t}*) is an indicator that takes the value of one if the buyer in a given transaction is a generalist (specialist) PE investor. The regressions include the following control variables: the logged price per room and the term of the mortgage. Hotel fixed effects, lender fixed effects, and region × year fixed effects are included as indicated. F-statistic refers to the results from a hypothesis test for the equality of the coefficients on *PEBuyer^{Gen}_{i,t}* and *PEBuyer^{Spec}_{i,t}* reported in the table. All regressions are estimated over the 2001–2015 period. Standard errors are clustered by zip code. Statistical significance is indicated as follows: *** $n < 0.01$ ** $n < 0.05$ * $n < 0.1$

Table 11: private equity acquisition financing

- Conditional on comparable assets, specialist PE ownership improves operating margins more than generalist ownership.
- Specialists earn higher capital gains on hotel exits.
- Specialist outperformance is driven mainly by cost savings rather than revenue growth.
- Specialists reduce labor costs, management fees, property taxes, interest, and other expenses.
- Some service-quality ratings decline under specialist ownership, but revenues do not significantly fall.
- Specialists are more likely to complete alteration projects.
- Real-estate-focused generalists do not match hotel specialists' performance.
- Specialist professionals have deeper industry-specific operating expertise.
- Specialists add more value in operationally complex hotels.
- Generalists have a financing advantage, but specialists have an operating advantage.
- The main lesson is that PE specialization can be a source of asset-level operational value creation.

7 Conclusion

7.1 Core conclusion

Spaenjers and Steiner show that PE specialists can outperform generalist PE firms in a specific sector by using industry-specific operating expertise. In U.S. hotels, specialists buy more operationally challenging assets, improve net income margins, and realize higher capital gains at exit.

7.2 Economic intuition

Hotels combine real estate ownership with operating businesses. A specialist who understands staffing, management contracts, revenue mix, service standards, property taxes, renovations, and local hotel operations can identify inefficiencies that a generalist may miss. The specialist's value comes from making the asset operate better, not merely from financial engineering or market timing.

7.3 Takeaway

The paper revises the standard view of private equity. PE firms are not homogeneous. Sector specialization creates distinctive asset selection, asset management, and performance patterns. For limited partners and researchers, the relevant question is not simply whether PE ownership creates value, but which type of PE expertise creates value and in which assets.